Conflict of Interest Policy

Apps for Change — A Minnesota 501(c)(3) Nonprofit Corporation

Effective Date: March 2026

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1. Purpose

The purpose of this Conflict of Interest Policy (the “Policy”) is to protect the interests of Apps for Change (the “Corporation”) when it is contemplating entering into a transaction or arrangement that might benefit the private interest of a director, officer, or key employee, or that might result in a possible excess benefit transaction under Section 4958 of the Internal Revenue Code. This Policy supplements, and shall be interpreted consistently with, Article VIII of the Corporation's Bylaws, Minnesota Statutes § 317A.255, and applicable federal law. It is intended to supplement but not replace any applicable state and federal laws governing conflicts of interest in nonprofit and charitable organizations.

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2. Definitions

Interested Person

Any director, officer, or member of a committee with Board-delegated powers who has a direct or indirect Financial Interest, as defined below, is an Interested Person.

Financial Interest

A person has a Financial Interest if the person has, directly or indirectly, through business, investment, or family:

- An ownership or investment interest in any entity with which the Corporation has a transaction or arrangement;
- A compensation arrangement with the Corporation or with any entity or individual with which the Corporation has a transaction or arrangement; or
- A potential ownership or investment interest in, or compensation arrangement with, any entity or individual with which the Corporation is negotiating a transaction or arrangement.

“Compensation” includes direct and indirect remuneration as well as gifts or favors that are not insubstantial. “Family” includes a spouse, parents, children and their spouses, siblings and their spouses, and anyone sharing the person's household. A Financial Interest is not necessarily a conflict of interest; a conflict exists only when the Board determines, under Section 3 below, that an Interested Person has a conflict.

3. Procedures

(a) Duty to Disclose

In connection with any actual or possible conflict of interest, an Interested Person must disclose the existence of the Financial Interest and be given the opportunity to disclose all material facts to the Board before any vote on the transaction or arrangement.

(b) Recusal and Determination

After disclosure and any Board-requested discussion with the Interested Person, the Interested Person shall leave the meeting (or the deliberation, if conducted electronically) while the conflict is discussed and voted upon. The remaining disinterested directors shall determine whether a conflict of interest exists. Because the Corporation currently has a three-member Board, a single recusal leaves two disinterested directors; both must participate in the determination and any approval, and the recused director shall not attempt to influence the outcome.

(c) Addressing the Conflict

If a conflict exists, the disinterested directors shall: (i) investigate whether a more advantageous transaction or arrangement is reasonably available that would not give rise to a conflict; and (ii) approve the transaction only upon determining, by majority vote of the disinterested directors, that it is in the Corporation's best interest, for its own benefit, fair, and reasonable.

(d) Violations

If the Board has reasonable cause to believe an Interested Person has failed to disclose an actual or possible conflict, it shall inform the person of the basis for that belief and afford the person an opportunity to explain. If, after hearing the response and making further investigation as warranted, the Board determines that the person failed to disclose a conflict, it shall take appropriate disciplinary and corrective action, which may include removal under Article IV, Section 4.7 of the Bylaws.

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4. Compensation Matters

Compensation of the Executive Director and of any director shall follow the procedures in Article V, Sections 5.4 through 5.7 of the Bylaws, which are incorporated here by reference and are intended to satisfy the rebuttable presumption of reasonableness under Treasury Regulation § 53.4958-6. In particular:

- A director or officer who receives compensation from the Corporation, directly or indirectly, shall not vote on matters pertaining to that person's compensation and shall be absent from the final deliberation and vote, except to provide information requested by the Board;
- Compensation decisions shall be based on comparability data from similarly situated organizations;
- The decision, the data relied upon, and the names of the disinterested directors approving it shall be contemporaneously documented in the minutes; and

- All director and officer compensation shall be disclosed on the Corporation's annual IRS information return as required by law.

5. Records of Proceedings

The minutes of the Board shall contain: (a) the names of persons who disclosed or were otherwise found to have an actual or possible conflict, the nature of the interest, any action taken to determine whether a conflict was present, and the Board's decision; and (b) the names of the persons present for discussions and votes relating to the transaction, the content of those discussions (including any alternatives considered), and a record of the votes taken.

6. Annual Disclosure Statements

Each director and officer shall annually sign a disclosure statement that affirms the person: (a) has received a copy of this Policy; (b) has read and understands it; (c) has agreed to comply with it; and (d) understands the Corporation is charitable and, to maintain its federal tax exemption, must engage primarily in activities that accomplish one or more of its tax-exempt purposes. The statement shall identify any relationships, positions, or circumstances in which the person is involved that could give rise to a conflict. The Secretary shall maintain these disclosures as part of the Corporation's permanent records, per Article VIII, Section 8.3 of the Bylaws.

7. Periodic Reviews

To ensure the Corporation operates consistently with its charitable purposes and does not engage in activities that could jeopardize its tax-exempt status, the Board shall conduct periodic reviews that address, at a minimum: (a) whether compensation arrangements and benefits are reasonable, based on competent survey information, and the result of arm's-length bargaining; and (b) whether partnerships, joint ventures, and arrangements with other organizations conform to the Corporation's written policies, are properly recorded, reflect reasonable investment or payments for goods and services, further charitable purposes, and do not result in inurement or impermissible private benefit.

Adoption

This Policy was adopted by the Board of Directors of Apps for Change on ________________________, 2026.

____ Date: ________________

Chair / President & Executive Director

____ Date: ________________

Treasurer

______________________________________ Date: ______________

Secretary

Appendix A — Annual Conflict of Interest Disclosure Statement

I have received, read, and understand the Apps for Change Conflict of Interest Policy, and I agree to comply with it. I understand that Apps for Change is a charitable organization and that, to maintain its federal tax exemption, it must engage primarily in activities that accomplish one or more of its tax-exempt purposes.

Please describe below any relationships, positions, transactions, or circumstances (including those of family members) that could give rise to an actual or potential conflict of interest, or write "None":

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____ Date: _______________
Signature of Director / Officer

Printed Name: ______________________________ Position: ______________________________